

If you follow the lessons in this chapter, you will never be a bankruptcy statistic:

- Do not rely on credit as income.
- Stay within a safe level of debt (see Chapter 3).
- Ask others for help.
- Try to work out revised payment arrangements.
- Visit a nonprofit credit counselor.
- Remember that certain debts are exempted from bankruptcy.
- Stick to your budget when you receive extra money.
- Understand that a bankruptcy will appear on your credit report.
- Consider all other options before deciding to file.

Someone recently said, “There was a time when a fool and his money were soon parted, but now it happens to everybody!” I certainly do not believe that we are all fools. I truly believe that given the choice, most of us would rather amass money than have it slip away. The way to do this is through education. Although it’s never too late to start learning, the power of preventative education cannot be underestimated.

Education is so important since today’s young adults face a bewildering world where they will bear primary responsibility for funding their own retirement, and where terms like 401(k) plans, mutual funds, IRAs, and co-branded credit cards are part of everyday language. As technology grows, so will the selection of sophisticated, high-tech financial products and services for consumers.

To expect young adults to get through this financial maze without training is to invite disaster. Just as we wouldn’t expect someone to know how to build a house just by giving him or her a saw, a hammer, and some wood, we shouldn’t expect

